



Project Zeno

Financial due diligence report

—

December 3, 2024

KPMG LLP
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Private and confidential

HEALWELL AI Inc.
460 College St, Suite 301
Toronto, Ontario
MG6 1A1
Attention: Anthony Lam, CFO

December 3, 2024

Project Zeno — Financial due diligence

We have completed this phase of procedures to assist HEALWELL AI Inc. (“Client” or “you”) in performing financial due diligence in connection with your prospective investment (the “Transaction”) in Orion Health (the “Company” or “Target”), in accordance with the terms of our engagement letter dated November 15, 2024, including its Terms and Conditions for Advisory and Tax Services.

Objective

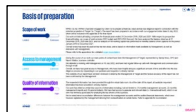
The objective of our engagement was to assist you with your assessment of the risks and opportunities of your prospective acquisition of Target. Our work in this report was based on information provided by you and obtained in an electronic data room and discussions with Target Management. The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data of interest to you.

Please review the following documents in the appendices, which set out the basis and limitations of our work performed:

Important notice



Basis of preparation



Scope of work



Basis of Information

The engagement letter describes the procedures we were to perform and are attached herein in Appendix 3. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning Target.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board (“AASB”) in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target’s internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you and/or Target from November 15, 2024 to December 3, 2024, inclusive. Since many aspects of the transaction with Target have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to December 3, 2024. We have not reviewed this report with Target Management for the purpose of confirming the factual accuracy of the information we presented.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of Target and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not authorize any recipient or any other third party to rely on this report and any such reliance shall be at recipient’s sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to the recipient or any party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG.

Yours sincerely,

KPMG LLP

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Executive summary

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Adjusted income statement

The income statement presented on this page is based on Management's calculation of carve-out EBITDA for Zeno (see Appendix 4), adjusted to reflect the results of our quality of earnings analysis (pages 8-15) and run rate analysis (pages 17-18).

TTM Sep-24 adjusted EBITDA is \$4.8 million – broadly in line with management's adjusted EBITDA of \$4.9 million. This is lower than FY23 (\$17.1 million) and FY24 (\$18.6 million) as the business experienced some one-off churn in TTM Sep-24 (see page 5). However, the business appears to have recovered to some extent more recently, and we estimate run rate EBITDA is \$11.5 million. This is based on Sep-24 ARR and last three month run rate costs, plus newly signed wins and an imminent contract with Ascend Advanced Healthcare ("AAH"), a large customer in Saudi Arabia, which is expected to sign imminently. Both TTM Sep-24 and run rate EBITDA include a level of expected employee and overhead synergies which we understand in your view is a conservative quantification of the potential cost savings that can be realized post-deal. CY25 EBITDA is projected to be \$34.2 million, which they view as a return to a more 'normal' EBITDA trajectory – and Zeno management have prepared a detailed pipeline of contracted and target opportunities that bridge from run rate to CY25 earnings (see page 6).

Zeno - adjusted					
NZ\$'000	FY23	FY24	TTM Sep-24	Run rate	CY25
Non-recurring revenue	40,823	45,428	31,494	30,960	44,451
Recurring revenue	87,364	80,550	77,558	81,160	93,007
Revenue	128,187	125,978	109,052	112,120	137,457
Costs of sales/direct costs					
Non-recurring direct costs	(1,281)	(794)	(1,281)	(1,308)	(814)
Recurring direct costs	(19,651)	(18,359)	(18,637)	(19,117)	(21,194)
Direct costs	(20,932)	(19,153)	(19,919)	(20,425)	(22,009)
Net 3rd party revenue/(costs)	2,533	64	321	-	45
Professional services	(27,682)	(24,534)	(22,213)	(19,625)	(20,999)
Managed Services	(9,673)	(7,562)	(7,159)	(6,696)	(7,618)
Support	(2,091)	(2,388)	(3,278)	(3,800)	(4,207)
Gross margin	70,342	72,405	56,804	61,574	82,670
R&D	(23,535)	(21,434)	(21,355)	(20,997)	(17,951)
Customer acquisition	(11,624)	(11,953)	(11,431)	(9,859)	(10,219)
Other	(18,101)	(20,419)	(19,233)	(19,205)	(20,288)
Operating expenses	(53,260)	(53,806)	(52,018)	(50,061)	(48,457)
EBITDA (excl. STI & LTI)	17,082	18,599	4,786	11,513	34,213
STI	-	-	-	-	(2,749)
LTI	(430)	(848)	(424)	-	(163)
EBITDA (incl. STI & LTI)	16,652	17,751	4,362	11,513	31,300
Memo					
Management adjusted EBITDA	16,700	18,848	4,914		35,621
Potential synergies - employees (incl. in EBITDA)	3,196	3,131	3,061	2,699	2,802
Potential synergies - other costs (incl. in EBITDA)	650	951	872	872	1,058

Source: Management model, KPMG analysis.

Basis of preparation

Analysis presented is for the fiscal years ending Mar-23 and Mar-24 ("FY23", "FY24"), the trailing twelve months ended Sep-24 ("TTM Sep-24"), and calendar year 2025 ("CY25"). Other periods including calendar year 2023 and 2024 are presented in an accompanying databook.

Adjusted EBITDA includes the benefit of \$3.9 million of potential synergies proposed by the seller:

- People-cost synergies total \$3.1 million in TTM Sep-24 and \$2.7 million in the run rate scenario. These relate to 10 people identified by the seller as unlikely to be required as part of HEALWELL operations (including 6 in security and assurance; plus some management, sales and HR roles in North America). We understand you have identified headcount savings well in excess of 10 roles, and these savings may be conservative. See consid. #a, page 13.
- Non-people cost synergies total \$0.9 million in TTM Sep-24 and run rate, mainly relating to professional fees (audit, tax, legal). We understand that your targeted cost base is lower than what has been included in Zeno's adjusted EBITDA, and the \$0.9 million of cost synergies could be conservative. See consid. #b, page 14.

Our adjusted EBITDA also includes an adjustment to capitalize a portion of recurring R&D costs (approx. 14% - \$3.1 million in TTM Sep-24). See adjustment #5 (page 9) and consid. #e (page 15).

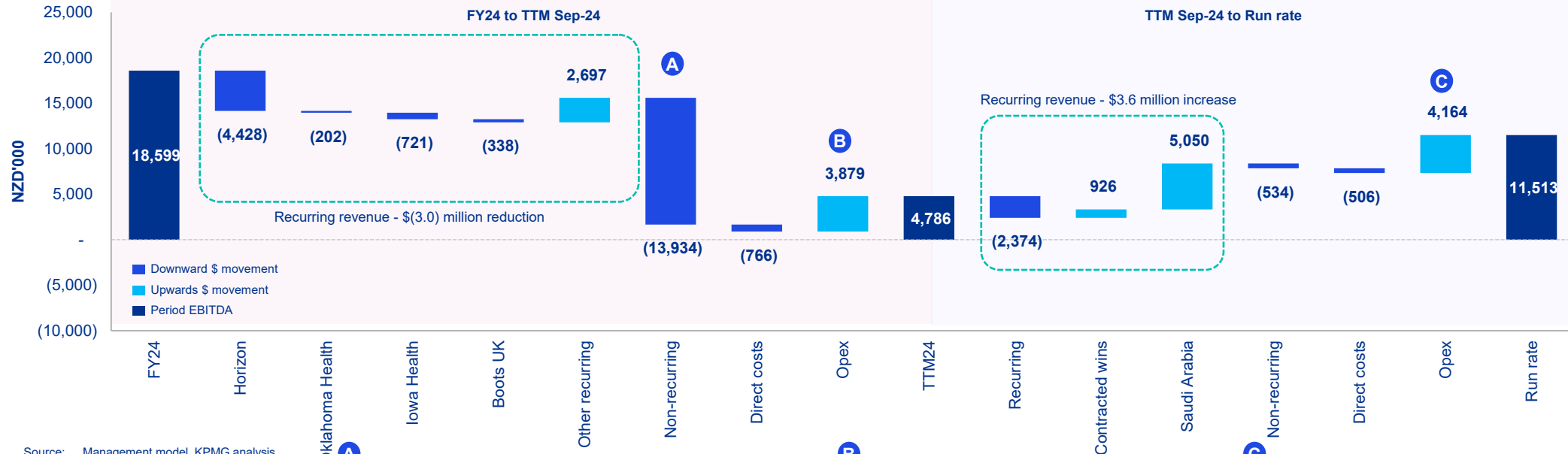
Adjusted EBITDA excludes non-cash, share based long term incentive costs that we understand you will replicate in the future on a 'non-cash' basis ("LTI" - \$0.5 million in TTM Sep-24 and \$0.2 million in the run rate scenario / CY25). See consid. #f, page 15.

Adjusted EBITDA – FY24 to Run Rate

Adjusted EBITDA has reduced from \$18.6 million to \$4.8 million between FY24 and TTM Sep-24. This reflects a number of large, one-off contract churns in the last twelve months (four contracts contributing \$5.7 million in FY24, driving a \$3.0 million reduction in recurring revenue – see Appendix 9 for more details) as well as a reduction in non-recurring revenue, largely relating to the end of the AAH implementation and a migration from perpetual license to ARR arrangements (\$6.4 million and \$4.6 million of the \$13.9 million reduction, respectively). Opex reduced by \$3.9 million, including \$2.2 million of employee costs, following a reduction in headcount in the early months of 2024, as well as other cost savings.

We estimate that EBITDA has recovered to \$11.5 million on a run rate basis – driven mainly by increased recurring revenues (\$3.6 million increase) and the full year impact of the current workforce. Run rate EBITDA reflects current ARR and known contract wins, as the implementations ending in TTM Sep-24 begin to generate revenue, including \$5.1 million of the expected new ARR with AAH. Costs are largely based off the census data provided by Management for employees expected to be retained by Zeno, or by reference to last 3 months to Sep-24 QoE adjusted costs.

Adjusted EBITDA bridge: FY24 to Run Rate



Source: Management model, KPMG analysis.

A Non-recurring revenue relates to professional services on implementation, and perpetual license income. The \$13.9 million reduction in income between FY24 and TTM Sep-24 includes a \$6.4 million reduction from AAH, as the implementation in Saudi Arabia concluded (ahead of an expected ongoing managed service contract), as well as a \$4.6 million reduction in perpetual licence income as the business migrates to a recurring revenue managed service model.

B \$3.9 million reduction in opex includes \$2.2 million of employee cost savings, following an RIF impacting employees in New Zealand, Australia and the US in early 2024. Other cost savings of \$1.7 million were achieved across a number of cost categories, driven by lower headcount, including travel and entertainment (\$0.3 million) telecoms and IT (\$0.4 million).

C \$4.2 million reduction in opex includes a \$4.7 million reduction in employee costs, reflecting the full year impact of the Zeno-related census employees (including employees identified as synergies), offset by \$0.6 million of non-employee cost increases.

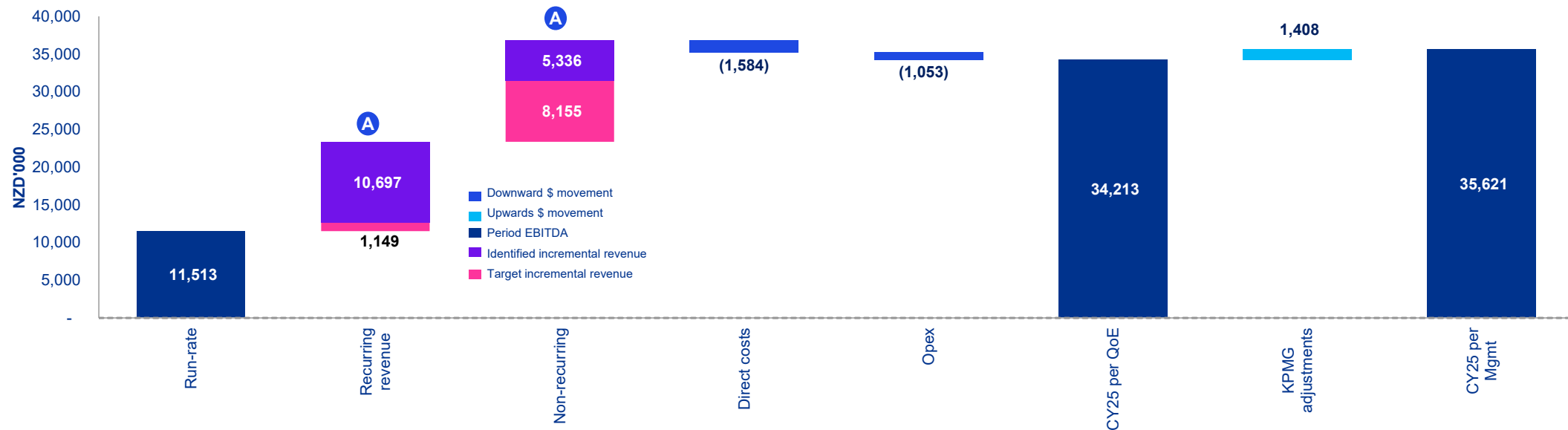
Adjusted EBITDA – Run Rate to CY25

Management has presented an expected EBITDA of \$35.6 million for CY25.

The increase of \$24.1 million compared to run rate EBITDA comes reflects a combination of incremental revenue from identified revenue opportunities (\$16.0 million) and unspecified revenue opportunities (\$9.3 million), offset by higher direct and operating costs – arriving at a ‘QoE’ adjusted CY25 EBITDA of \$34.2 million. Overall, 97% of CY25’s recurring revenue and 50% of the non-recurring revenue is contracted or near-contracted, including a projected \$4.5 million of incremental revenue from a scope of work expansion from Ontario Health, Zeno’s largest customer, which is in the final stages of negotiation. Specifically-identified opportunities contribute a further 2% and 31% of CY25 recurring / non-recurring revenues, respectively (see Appendix 10).

The remaining gap to Management’s EBITDA of \$35.6 million relates to \$0.8 million of out of period revenue adjustments, \$0.6 million of bad debt adjustments, and \$0.1 million of severance costs.

Adjusted EBITDA bridge: Run Rate to CY25



Source: Management model, KPMG analysis.

A Management have prepared a CY25 revenue forecast, split between identified opportunities and targeted but not-specifically-identified opportunities. The identified opportunities comprise \$16.0 million of the \$25.4 million increase in revenue between the run rate and CY25. Note that contracted recurring revenue is already included in run rate revenues. See Appendix 10.

02

Quality of earnings

2.1 Quality of earnings

8

Quality of earnings (1/8)

Findings					Recommendation				
Quality of earnings summary									
NZ\$'000		FY23	FY24	TTM Sep-24	CY25				
Group reported EBITDA		(12,027)	(5,697)	(19,629)	26,479				
Management normalizations									
Saudi implementation perpetual license	1	4,235	4,550	1,447	-				
PDH Joint Venture	2	(1,763)	(3,011)	(312)	-				
Ontario project 1360	3	3,238	-	-	-				
Severance costs	4	508	832	755	-				
Capitalization of R&D	5	3,738	4,371	4,371	4,371				
Bad debt	6	1,185	2,515	2,643	-				
Management normalizations		11,140	9,257	8,903	4,371				
Group Management normalized EBITDA		(887)	3,560	(10,726)	30,850				
Carve out adjustments									
Carve out		13,159	10,647	11,171	455				
Synergy assumptions		4,428	4,640	4,469	4,316				
Carve out adjustments		17,587	15,287	15,640	4,771				
Zeno Management normalized EBITDA		16,700	18,848	4,914	35,621				
Revisions to management adjustments									
Severance costs	7	(100)	(100)	(100)	(100)				
Bad debt cost	8	(340)	(385)	(332)	(549)				
Adjustment smoothing CY23	9	0	-	-	-				
Revisions to management adjustments		(440)	(485)	(432)	(649)				
Potential adjustments		822	235	304	(759)				
Adjusted EBITDA		17,082	18,599	4,786	34,213				
Run rate adjustments				6,727					
Run rate adjusted EBITDA				11,513					

Approach

Adjusted EBITDA presented in this report is a combination of management normalizations and carve-out / synergy assumptions, plus adjustments identified in the course of our work.

Management normalizations

- Perpetual license income is generated where licenses are sold so that clients can host their own Zeno-implemented systems. Income is typically spread over the implementation period as client systems are set up. AAH perpetual license income was recognized in full in FY21 – this adjustment spreads that income over the implementation period, which ended in FY24. The business has moved from a perpetual license model to an ARR subscription model, where hosting and managed service is provided by Zeno on an ongoing basis. No further perpetual license income is projected, and it has not been included in the run rate. Despite the fact that this client has a perpetual license, they also require ongoing managed services and hosting: an ongoing support contract for AAH is being negotiated, and the work is already being delivered – however, no revenue has been recognized. This represents a substantial upside to TTM Sep-24 EBITDA (\$1.7 million part-year impact – see QoE consid. #d), and has been included in run rate EBITDA (\$5.1 million of ARR).
- Adjustment removes EBITDA from a wound-up joint venture.
- Out of period revenue adjustment required between FY22 and FY23.
- Adjustment removes all historical severance costs. Costs were elevated in FY24 as the business underwent a number of targeted RIFs impacting the US sales team (Jan-24), the New Zealand back office team (Mar-May 24), and the R&D team in Canberra (Apr-24). The cost of the reduced workforce has been factored into the run rate (page 17). It is likely that the business will incur some recurring level of severance costs; we included Management's estimate of \$0.1 million in our adjustment #7.

AAH contract: The AAH contract is a potential significant uplift to TTM Sep-24 EBITDA and run rate EBITDA and you should closely monitor the progress of negotiations, including the impact on your deal value.

Source: Management model, KPMG analysis.

Quality of earnings (2/8)

Findings

Quality of earnings summary

NZ\$'000		FY23	FY24	TTM Sep-24	CY25
Group reported EBITDA		(12,027)	(5,697)	(19,629)	26,479
Management normalizations					
Saudi implementation perpetual license	1	4,235	4,550	1,447	-
PDH Joint Venture	2	(1,763)	(3,011)	(312)	-
Ontario project 1360	3	3,238	-	-	-
Severance costs	4	508	832	755	-
Capitalization of R&D	5	3,738	4,371	4,371	4,371
Bad debt	6	1,185	2,515	2,643	-
Management normalizations		11,140	9,257	8,903	4,371
Group Management normalized EBITDA		(887)	3,560	(10,726)	30,850
Carve out adjustments					
Carve out		13,159	10,647	11,171	455
Synergy assumptions		4,428	4,640	4,469	4,316
Carve out adjustments		17,587	15,287	15,640	4,771
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Adjusted EBITDA		17,082	18,599	4,786	34,213
Run rate adjustments				6,727	
Run rate adjusted EBITDA				11,513	

Management normalizations (cont.)

5.

Adjustment to capitalize a portion of R&D costs in each period. Management's adjustment was based on a high level estimate of development activities, and relates to 14% of Zeno's R&D costs in TTM Sep-24 and run rate. A detailed review of development projects has not been undertaken or compared to IFRS capitalization criteria by Management historically. However, as R&D activities are mainly directed towards improvements and development of the existing software, it is likely that some portion of these costs are eligible for capitalization. You should discuss an appropriate capitalization policy with your auditor – however, we understand that the capitalization rate is comparable the software division of the WELL Health group (16%) and that capitalized R&D is excluded from EBITDA as presented in WELL Health group reporting. The R&D team are ongoing employees, and we present Zeno's share of the ongoing cash costs in EBITDA consid. #e.

6.

This adjustment removes all bad debt costs and recoveries. We have refined this adjustment in adjustment #8.

Recommendation

R&D capitalization:

You should discuss an appropriate R&D capitalization policy with your auditors. Differences in the approach to capitalizing R&D would impact the EBITDA presented here – but would not result in a net impact to operating cash flows.

Source:

Management model, KPMG analysis.

Source: Management model, KPMG analysis.

Quality of earnings (3/8)

Findings					Recommendation				
Quality of earnings summary									
NZ\$'000		FY23	FY24	TTM Sep-24	CY25				
Group reported EBITDA		(12,027)	(5,697)	(19,629)	26,479				
Management normalizations									
Saudi implementation perpetual license	1	4,235	4,550	1,447	-				
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Adjusted EBITDA		17,082	18,599	4,786	34,213				
Run rate adjustments				6,727					
Run rate adjusted EBITDA				11,513					

Carve-out adjustments

Carve out adjustments have been made by Management to bridge from adjusted group performance to Zeno EBITDA.

Revenues have been specifically identified and allocated between Zeno and the parts of the business planned for carve-out (HIP and ENT).

Carve out cost adjustments have been mainly based on an employee census as at Oct-24. Of the total employees (499), Management propose that 394 will transfer to Zeno, and that 384 will be required by the business going forward. The balance of 10 employees is an implied synergy to be delivered by you post-deal – and we understand you have identified at least 10 roles that will be eliminated shortly after the completion of the proposed transaction.

Employee and non-employee costs have been allocated between HIP, ENT, Zeno and ‘synergies’ by reference to the Oct-25 census – see Appendix 6.

We have reperformed Management’s allocation calculations and retraced the logic and methodology. Overall the approach appears sensible, see consid. #a, #b and #c for further discussion on the potential synergies.

We have not performed an operational analysis of the carve-out or the synergy assumptions – and actual stand-alone Zeno costs could differ from the allocation methodology presented in this analysis – see other consideration #c.

Carve-out employees: The carve-out methodology generally appears logical and methodical, and includes the full cost of the individuals identified as ‘Zeno’ employees in the Oct-24 census. We understand you have identified a number of roles that are not required in the enlarged group post-transaction (in excess of the 10 roles identified as synergies). We also recommend you review the employee census, listing Zeno employees, in detail to ensure the identified employees meet your operational needs.

Shared roles: We understand there are limited ‘shared’ roles – limited to payroll and commercial managers. You should ensure that you have visibility on the key ‘shared’ roles and are involved in the decision making about which individuals are retained by Zeno and which are carved out.

Source: Management model, KPMG analysis.

Quality of earnings (4/8)

Findings					Recommendation																																																																																																																																																						
Quality of earnings summary <table> <tr> <th>NZ\$'000</th><th></th><th>FY23</th><th>FY24</th><th>TTM Sep-24</th><th>CY25</th></tr> <tr> <td>Group reported EBITDA</td><td></td><td>(12,027)</td><td>(5,697)</td><td>(19,629)</td><td>26,479</td></tr> <tr> <td colspan="6">Management normalizations</td></tr> <tr> <td>Saudi implementation perpetual license</td><td>1</td><td>4,235</td><td>4,550</td><td>1,447</td><td>-</td></tr> <tr> <td>PDH Joint Venture</td><td>2</td><td>(1,763)</td><td>(3,011)</td><td>(312)</td><td>-</td></tr> <tr> <td>Ontario project 1360</td><td>3</td><td>3,238</td><td>-</td><td>-</td><td>-</td></tr> <tr> <td>Severance costs</td><td>4</td><td>508</td><td>832</td><td>755</td><td>-</td></tr> <tr> <td>Capitalization of R&D</td><td>5</td><td>3,738</td><td>4,371</td><td>4,371</td><td>4,371</td></tr> <tr> <td>Bad debt</td><td>6</td><td>1,185</td><td>2,515</td><td>2,643</td><td>-</td></tr> <tr> <td>Management normalizations</td><td></td><td>11,140</td><td>9,257</td><td>8,903</td><td>4,371</td></tr> <tr> <td>Group Management normalized EBITDA</td><td></td><td>(887)</td><td>3,560</td><td>(10,726)</td><td>30,850</td></tr> <tr> <td colspan="6">Carve out adjustments</td></tr> <tr> <td>Carve out</td><td></td><td>13,159</td><td>10,647</td><td>11,171</td><td>455</td></tr> <tr> <td>Synergy assumptions</td><td></td><td>4,428</td><td>4,640</td><td>4,469</td><td>4,316</td></tr> <tr> <td>Carve out adjustments</td><td></td><td>17,587</td><td>15,287</td><td>15,640</td><td>4,771</td></tr> <tr> <td>Zeno Management normalized EBITDA</td><td></td><td>16,700</td><td>18,848</td><td>4,914</td><td>35,621</td></tr> <tr> <td colspan="6">Revisions to management adjustments</td></tr> <tr> <td>Severance costs</td><td>7</td><td>(100)</td><td>(100)</td><td>(100)</td><td>(100)</td></tr> <tr> <td>Bad debt cost</td><td>8</td><td>(340)</td><td>(385)</td><td>(332)</td><td>(549)</td></tr> <tr> <td>Adjustment smoothing CY23</td><td>9</td><td>0</td><td>-</td><td>-</td><td>-</td></tr> <tr> <td>Revisions to management adjustments</td><td></td><td>(440)</td><td>(485)</td><td>(432)</td><td>(649)</td></tr> <tr> <td>Potential adjustments</td><td></td><td>822</td><td>235</td><td>304</td><td>(759)</td></tr> <tr> <td>Adjusted EBITDA</td><td></td><td>17,082</td><td>18,599</td><td>4,786</td><td>34,213</td></tr> <tr> <td>Run rate adjustments</td><td></td><td></td><td></td><td>6,727</td><td></td></tr> <tr> <td>Run rate adjusted EBITDA</td><td></td><td></td><td></td><td>11,513</td><td></td></tr> </table>					NZ\$'000		FY23	FY24	TTM Sep-24	CY25	Group reported EBITDA		(12,027)	(5,697)	(19,629)	26,479	Management normalizations						Saudi implementation perpetual license	1	4,235	4,550	1,447	-	PDH Joint Venture	2	(1,763)	(3,011)	(312)	-	Ontario project 1360	3	3,238	-	-	-	Severance costs	4	508	832	755	-	Capitalization of R&D	5	3,738	4,371	4,371	4,371	Bad debt	6	1,185	2,515	2,643	-	Management normalizations		11,140	9,257	8,903	4,371	Group Management normalized EBITDA		(887)	3,560	(10,726)	30,850	Carve out adjustments						Carve out		13,159	10,647	11,171	455	Synergy assumptions		4,428	4,640	4,469	4,316	Carve out adjustments		17,587	15,287	15,640	4,771	Zeno Management normalized EBITDA		16,700	18,848	4,914	35,621	Revisions to management adjustments						Severance costs	7	(100)	(100)	(100)	(100)	Bad debt cost	8	(340)	(385)	(332)	(549)	Adjustment smoothing CY23	9	0	-	-	-	Revisions to management adjustments		(440)	(485)	(432)	(649)	Potential adjustments		822	235	304	(759)	Adjusted EBITDA		17,082	18,599	4,786	34,213	Run rate adjustments				6,727		Run rate adjusted EBITDA				11,513		Challenges to management normalizations - Inclusion of estimated ongoing severance costs in EBITDA (see adj. #4). - Management's adjustment #6 removes all bad debt costs and recoveries. The business incurred a total bad debt cost of \$3.2 million in FY24 (including audit adjustments), which included a number of one-off bad debts relating to AAH (which have since been recovered) and Oklahoma Health (see page 5). The 'normal course' bad debt cost was \$0.3 million, or 1.3% of non-recurring revenue, and we have applied this cost to all periods as an estimation of typical bad debt costs. - Adjustment to refine Management's approach to monthly phasing of adjustments historically. There is no impact on a fiscal year basis.
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Quality of earnings (5/8)

Findings

Quality of earnings summary

NZ\$'000	FY23	FY24	TTM Sep-24	CY25	
Group reported EBITDA	(12,027)	(5,697)	(19,629)	26,479	
Management normalizations	11,140	9,257	8,903	4,371	
Group Management normalized EBITDA	(887)	3,560	(10,726)	30,850	
Carve out adjustments	17,587	15,287	15,640	4,771	
Zeno Management normalized EBITDA	16,700	18,848	4,914	35,621	
Revisions to management adjustments	(440)	(485)	(432)	(649)	
Potential adjustments					
Revenue smoothing	10	332	(463)	(323)	(1,259)
AWS reclassification	11	-	143	71	-
R&D investment credit	12	491	555	555	500
Deferred commission	13	+ / -	+ / -	+ / -	+ / -
Foreign exchange	14	+ / -	+ / -	+ / -	+ / -
Review of balance sheet breakdowns	15	+ / -	+ / -	+ / -	+ / -
Potential adjustments	822	235	304	(759)	
Adjusted EBITDA	17,082	18,599	4,786	34,213	
Run rate adjustments			6,727		
Run rate adjusted EBITDA			11,513		

Potential adjustments

- Reported revenue includes a number of catch-up billings and out of period items that have been allocated to the correct period in this adjustment.
- Adjustment to AWS costs posted as a top-side entry in the year-end financial statements.
- The business receives R&D investment credits from the New Zealand government. These were not allocated to the business in Management's carve-out – however, we understand some of the credits relate to Zeno R&D projects. We have included tax credits relating to Zeno in the historical period (TTM Sep-24 assumed to be in line with FY24). The forecast includes \$0.5 million of credits each year.
- The business expenses commissions when incurred – rather than capitalizing commissions and amortizing over customer life. We have left commissions as reported to better reflect cash expenses – but EBITDA could vary under IFRS when reported in your results.
- EBITDA is presented at the historical rates as of the date of each transaction; all FX gains and losses on revaluation of balance sheet amounts have not been included in EBITDA. Such gains / losses are unpredictable, and would not be considered part of adjusted EBITDA – but the business is likely to experience some level of FX gains / losses in the future. See page 15 for historical EBITDA on a constant currency basis.
- Our work has focused on management's normalization and carve-out methodology, and trends in P&L and balance sheet accounts. We have requested but not been provided with balance sheet subledgers, and it is possible that additional adjustments may be identified when these are reviewed.

Recommendation

Tax credits:

TTM Sep-24 adjusted EBITDA includes \$0.6 million of R&D tax credits from the New Zealand government. Management explained that the transaction would not impact the ability to reclaim these credits, but you should seek legal and tax advice on the matter.

Source: Management model, KPMG analysis.

Source: Management model, KPMG analysis.

Quality of earnings (6/8)

Findings

Quality of earnings summary					
NZ\$'000	FY23	FY24	TTM Sep-24	CY25	
Group reported EBITDA	(12,027)	(5,697)	(19,629)	26,479	
Management normalizations	11,140	9,257	8,903	4,371	
Group Management normalized EBITDA	(887)	3,560	(10,726)	30,850	
Carve out adjustments	17,587	15,287	15,640	4,771	
Zeno Management normalized EBITDA	16,700	18,848	4,914	35,621	
Revisions to management adjustments	(440)	(485)	(432)	(649)	
Potential adjustments	822	235	304	(759)	
Adjusted EBITDA	17,082	18,599	4,786	34,213	
Run rate adjustments					
Sep-24 ARR			3,602		
Run rate other revenue			(534)		
Run rate direct costs			(506)		
Employee costs			4,718		
Other costs			(553)		
Run rate adjustments			6,727		
Run rate adjusted EBITDA			11,513		
Other considerations					
Potential synergies - employees (inc. in EBITDA)	a.	3,196	3,131	3,061	2,802
Potential synergies - other costs (inc. in EBITDA)	b.	650	951	872	1,058
Incremental potential synergies / stand alone costs	c.	+ / -	+ / -	+ / -	+ / -
Saudi contract billing delay	d.	-	-	1,683	-
Capitalized R&D (excl. from EBITDA)	e.	(2,616)	(3,060)	(3,060)	(3,060)
Share based LTI expense (excl. from EBITDA)	f.	(430)	(848)	(424)	(163)
STI paid / expected to be paid (excl. from EBITDA)	f.	-	-	-	(2,749)
R&D investment credits (inc. in EBITDA)	h.	491	555	555	500
Constant currency					
Constant currency impact		1,240	(531)	(313)	-
EBITDA - included constant currency impact		18,323	18,067	4,473	34,213

Source: Management model, KPMG analysis.

Run rate adjustments

16. Run rate adjustments reflect the full-year impact of ARR (including contracted wins) and run rate costs (mainly L3M annualized), based on the employee census at Oct-25. Run rate EBITDA also includes \$5.1 million of AAH revenue, pending a contract in Saudi Arabia. See pages 17 and 18 for more detail on methodology.

Other considerations

Adjusted EBITDA includes synergy assumptions of \$4.5 million in TTM Sep-24. Some of the proposed synergies are likely to be realized immediately – relating to the departing founder (no day-to-day role in the business) and a café which is operated by the Group but is not part of Zeno (\$0.5 million in TTM Sep-24).

The remaining \$3.9 million of synergies includes \$3.1 million of staff that you will employ on day one and will need to rationalize, and \$0.9 million of other costs (mainly \$0.6 million of professional fees) that have not been allocated to Zeno, HIP or ENT. Although we have not conducted a detailed review of the synergy case, it is possible that these synergies are realizable, subject to the considerations below:

- a. People-cost synergies total \$3.1 million in TTM Sep-24 and \$2.7 million in the run rate scenario. These relate to 10 people identified by the seller as unlikely to be required as part of HEALWELL operations (including 6 in security and assurance; plus some management, sales and HR roles in North America). From discussion with you, we understand that you have identified well in excess of 10 roles that will not be required post-deal, including 3 in security and assurance, 2 in sales and HR, and other synergies in finance, IT, marketing and R&D that you expect will deliver at least \$3.1 million of annualized savings. See Appendix 6.

Recommendation

Synergies: Adjusted EBITDA assumes that you can deliver at least \$3.1 million of synergies post-deal – approx. 10 people. We understand that you have identified these savings – although we have not reviewed your plans for synergy realization in detail.

Non-people costs: Management's allocation of non-people costs appears logical and in line with the proposed headcount split, and is likely to be directionally indicative of stand alone costs. We recommend a detailed budget is prepared to ensure that sufficient costs have been included relative to the high level allocations included Zeno's adjusted EBITDA.

Your costs: Note that per the LOI, adjusted EBITDA in future periods can include a fair-market allocation of your own shared service costs. Adjusted EBITDA does not include these costs.

Quality of earnings (7/8)

Findings

Quality of earnings summary					
NZ\$'000		FY23	FY24	TTM Sep-24	CY25
Group reported EBITDA		(12,027)	(5,697)	(19,629)	26,479
Management normalizations		11,140	9,257	8,903	4,371
Group Management normalized EBITDA		(887)	3,560	(10,726)	30,850
Carve out adjustments		17,587	15,287	15,640	4,771
Zeno Management normalized EBITDA		16,700	18,848	4,914	35,621
Revisions to management adjustments		(440)	(485)	(432)	(649)
Potential adjustments		822	235	304	(759)
Adjusted EBITDA		17,082	18,599	4,786	34,213
Run rate adjustments					
Sep-24 ARR	16			3,602	
Run rate other revenue				(534)	
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Run rate adjustments				6,727	
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Other considerations					
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Potential synergies - other costs (inc. in EBITDA)	b.	650	951	872	1,058
Incremental potential synergies / stand alone costs	c.	+ / -	+ / -	+ / -	+ / -
Saudi contract billing delay	d.	-	-	1,683	-
Capitalized R&D (excl. from EBITDA)	e.	(2,616)	(3,060)	(3,060)	(3,060)
Share based LTI expense (excl. from EBITDA)	f.	(430)	(848)	(424)	(163)
STI paid / expected to be paid (excl. from EBITDA)	f.	-	-	-	(2,749)
R&D investment credits (inc. in EBITDA)	h.	491	555	555	500
Constant currency					
Constant currency impact		1,240	(531)	(313)	-
EBITDA - included constant currency impact		18,323	18,067	4,473	34,213

Source: Management model, KPMG analysis.

Other considerations (cont.)

- Memo item for non-employee cost synergies proposed by the seller and included in adjusted EBITDA. These mainly relate to professional costs (\$0.6 million). We understand you have reviewed the stand-alone costs allocated to Zeno (i.e., net of the synergies) and consider the costs included in adjusted EBITDA to be more than sufficient for your go forward operations, and that further synergies may be possible. See Appendix 7.
- Non-people costs have been allocated broadly on a head-count basis (Zeno = 78% of group in TTM Sep-24). This includes allocations of insurance, telecom and IT, professional fees, marketing and travel costs. Premises costs appear to have been more specifically allocated, with the HIP / ENT division taking on the lease of offices in Bangkok and Manilla (\$0.6 million) and subleasing space in Zeno's offices in Auckland and Christchurch NZ (\$0.2 million). On this basis, \$3.1 million of TTM Sep-24 non-people costs have been allocated to HIP and ENT. We challenged Management on this assumption, including whether revenue might be a better allocation methodology (Zeno = 95% of group in TTM Sep-24). Management represented that headcount was the most likely driver of these costs. Line-by-line budgeting and benchmarking could be undertaken to more accurately assess stand-alone costs. See Appendix 7 for the split of non-people costs between Zeno, HIP, ENT and synergies.
- The AAH contract has not yet been signed. TTM Sep-24 includes four months of work for this client for which no payment has been received, and no revenue has been recognized. If the work is contracted and paid for, TTM Sep-24 EBITDA would be increased by \$1.7 million. Management explained that the implementation of the system has been successfully completed, and it would be highly impractical for the Saudi health authority to operate the system without the ongoing support and maintenance contract. Management are therefore highly confident that the contract will be signed before this deal completes. We have included the \$5.1 million of ARR in run rate (see page 17).

Recommendation

Non-people costs:

Management's allocation of non-people costs appears logical and in line with the proposed headcount split, and is likely to be directionally indicative of stand alone costs. We recommend you continue to update your model to ensure that sufficient costs have been included relative to the high level allocations included Zeno's adjusted EBITDA.

Your costs: Note that per the LOI, adjusted EBITDA in future periods can include a fair-market allocation of your own shared service and support costs.

Quality of earnings (8/8)

Findings

Quality of earnings summary					
NZ\$'000		FY23	FY24	TTM Sep-24	CY25
Group reported EBITDA		(12,027)	(5,697)	(19,629)	26,479
Management normalizations		11,140	9,257	8,903	4,371
Group Management normalized EBITDA		(887)	3,560	(10,726)	30,850
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Incremental potential synergies / stand alone costs	c.	+ / -	+ / -	+ / -	+ / -
Saudi contract billing delay	d.	-	-	1,683	-
Capitalized R&D (excl. from EBITDA)	e.	(2,616)	(3,060)	(3,060)	(3,060)
Share based LTI expense (excl. from EBITDA)	f.	(430)	(848)	(424)	(163)
STI paid / expected to be paid (excl. from EBITDA)	f.	-	-	-	(2,749)
R&D investment credits (inc. in EBITDA)	h.	491	555	555	500
Constant currency					
Constant currency impact		1,240	(531)	(313)	-
EBITDA - included constant currency impact		18,323	18,067	4,473	34,213

Source: Management model, KPMG analysis.

Recommendation

LTI and STI: EBITDA excludes non-cash LTI costs, and cash-based STI costs (only in CY25). We understand that you intend to replace both schemes with a new non-cash share-based incentivization scheme.

Other considerations (cont.)

e. A portion of R&D costs have been excluded from EBITDA on the assumption that a similar level of costs will be capitalizable under your accounting policies (see commentary, adjustment #5).

f. Memo showing non-cash LTI. We expect this LTI scheme will lapse on your acquisition, but additional ongoing non-cash LTI expenses could be incurred in future. We have excluded these non-cash costs from EBITDA, as we understand that share-based remuneration is excluded from EBITDA as presented in WELL Health group reporting. Note that the business also operates a cash-based short term incentive program ("STI") – but has not paid anything out in the last two years and does not expect to pay out any cash in FY25. STI costs of \$2.7 million are projected in CY25 – these costs have not been included in EBITDA, as we understand you intend to replace the STI program with non-cash stock based remuneration. New Zealand R&D investment credits included in adjusted EBITDA.

Constant currency

Estimated quantification of historical EBITDA on a constant currency basis.

Source: Management model, KPMG analysis.

03

Run rate

3.1 Run rate

17

Run rate (1/2)

Findings				Recommendation / next step	
Zeno - adjusted				Approach The run rate analysis builds from adjusted TTM Sep-24 earnings. We have calculated a potential run rate scenario using certain assumptions around go forward revenue and costs based on the latest trends in the business. Key assumptions Non-recurring revenue (\$31.0 million) – Non-recurring revenues relate to implementation professional services, and have been variable historically. Our run rate assumption reflects the annualized historical monthly average to give an indication of 'typical' income (Apr-20 to Sep-24). Run rate income excludes perpetual licenses, which Management does not expect to continue moving forward. CY25 includes \$44.5 million of non-recurring revenue – which includes \$22.1 million of contracted and near-contracted opportunities, \$0.5 million of R&D income (based on historical track record), \$13.7 million of identified opportunities, and \$8.2 million of unidentified but targeted revenues. See Appendix 8. Recurring revenue (\$81.2 million) – is based on the annualization of Sep-24 recurring revenue (Sep-24 ARR of \$75.2 million), adjusted for billing anomalies (e.g. multi-month catch up billings) identified in in the course of our work and through discussions with Management. We also included \$0.9 million of contracted but not-yet-commenced revenues, and the expected uplift from the Saudi Arabia AAH contract (additional \$5.1 million uplift). See Appendix 9 for a bridge of ARR over the Historical Period. Non-recurring revenue: Run rate non-recurring revenue is based on historical average revenue generation. Historical non-recurring revenue may not be a good indication of go forward revenues. We recommend you consider the pipeline, alongside longer-term trends in professional services, in your assessment of future EBITDA generation – see Appendix 10. Near-term ARR trend: as noted on page 6, CY25 forecast revenue (\$137.5 million) is significantly higher than TTM Sep-24 (\$109.1 million) or the run rate scenario (\$112.1 million). This is primarily driven by increased recurring revenue with a number of identified and unidentified opportunities. Notably, from Sep-24 to Dec-24, ARR is forecast to increase from \$75.2 million to \$86.1 million, with a number of contracted and assumed wins, including the Saudi Arabia AAH contract (\$5.1 million ARR). As we move through Dec-24 / Jan-25 we recommend that you continue to get updates from Management on the status of these expected near term contract wins and factor this into your view of the run rate and forecast. See Appendix 10 for a detailed breakdown of CY25 forecast revenue.	
NZ\$'000	TTM Sep-24	Run rate	CY25		
Non-recurring revenue	31,494	30,960	44,451		
Recurring revenue	77,558	81,160	93,007		
Revenue	109,052	112,120	137,457		
Costs of sales/direct costs					
Non-recurring direct costs	(1,281)	(1,308)	(814)		
Recurring direct costs	(18,637)	(19,117)	(21,194)		
Direct costs	(19,919)	(20,425)	(22,009)		
Net 3rd party revenue/(costs)	321	-	45		
Professional services	(22,213)	(19,625)	(20,999)		
Managed Services	(7,159)	(6,696)	(7,618)		
Support	(3,278)	(3,800)	(4,207)		
Gross margin	56,804	61,574	82,670		
R&D	(21,355)	(20,997)	(17,951)		
Customer acquisition	(11,431)	(9,859)	(10,219)		
Other	(19,233)	(19,205)	(20,288)		
Operating expenses	(52,018)	(50,061)	(48,457)		
EBITDA (excl. STI & LTI)	4,786	11,513	34,213		
STI	-	-	(2,749)		
LTI	(424)	-	(163)		
EBITDA (incl. STI & LTI)	4,362	11,513	31,300		
Memo					
Management adjusted EBITDA	4,914		35,621		
Potential synergies - employees (incl. in EBITDA)	3,061	2,699	2,802		
Potential synergies - other costs (incl. in EBITDA)	872	872	1,058		
Non-direct expenses					
Employee costs	(69,484)	(64,766)	(64,700)		
Non-employee costs	(14,863)	(15,416)	(16,536)		

Source: Management model, KPMG analysis.

Run rate (2/2)

Findings

Zeno - adjusted

NZ\$'000	TTM Sep-24	Run rate	CY25
Non-recurring revenue	31,494	30,960	44,451
Recurring revenue	77,558	81,160	93,007
Revenue	109,052	112,120	137,457
Costs of sales/direct costs			
Non-recurring direct costs	(1,281)	(1,308)	(814)
Recurring direct costs	(18,637)	(19,117)	(21,194)
Direct costs	(19,919)	(20,425)	(22,009)
Net 3rd party revenue/(costs)	321	-	45
Professional services	(22,213)	(19,625)	(20,999)
Managed Services	(7,159)	(6,696)	(7,618)
Support	(3,278)	(3,800)	(4,207)
Gross margin	56,804	61,574	82,670
R&D	(21,355)	(20,997)	(17,951)
Customer acquisition	(11,431)	(9,859)	(10,219)
Other	(19,233)	(19,205)	(20,288)
Operating expenses	(52,018)	(50,061)	(48,457)
EBITDA (excl. STI & LTI)	4,786	11,513	34,213
STI	-	-	(2,749)
LTI	(424)	-	(163)
EBITDA (incl. STI & LTI)	4,362	11,513	31,300
Memo			
Management adjusted EBITDA	4,914		35,621
Potential synergies - employees (incl. in EBITDA)	3,061	2,699	2,802
Potential synergies - other costs (incl. in EBITDA)	872	872	1,058
Non-direct expenses			
Employee costs	(69,484)	(64,766)	(64,700)
Non-employee costs	(14,863)	(15,416)	(16,536)

Key assumptions (cont.):

- Direct costs (\$20.4 million)** – analysis of historical trends and discussions with Management show that direct costs are broadly fixed, and not directly correlated with revenue movements. Therefore, run rate direct costs are calculated by annualizing adjusted L3M costs.
- Employee costs (\$64.8 million)** – employee costs make up the majority of the professional services, managed services, support, R&D, customer acquisition, and other costs (83% of TTM Sep-24 costs). The Oct-24 employee census has been used to determine the employees being retained by Zeno post transaction (384 employees). We have used the annualized, L3M actual salary costs for these 384 employees to determine run rate employee costs. See Appendix 6 for more details on employee census and headcount allocation.
- Non-employee operating expenses (\$15.4 million)** – these costs primarily relate to premise, telecom & IT, professional fees, travel and entertainment, and marketing costs. Consistent with the approach to direct costs, the run rate is based on annualized L3M adjusted non-employee costs.

Recommendation / next step

Source: Management model, KPMG analysis.

04

Appendices

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Appendix 1: Important notice

This report is provided to HEALWELL AI Inc. ("Client" or "You") on a confidential basis pursuant to our engagement letter dated November 15, 2024 ("Engagement Letter") and is subject in all respects to the terms and conditions of the Engagement Letter, including restrictions on use of this report by third parties.

If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client's benefit and its own use. KPMG LLP ("KPMG") does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient's sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG.

KPMG approach

Our report makes reference to 'KPMG Analysis'; this indicates only that we have (where specified) undertaken certain analytical activities on the underlying data to arrive at the information presented; we do not accept responsibility for the underlying data.

The analysis of 'normalized'/'underlying' earnings is for indicative purposes only. We have sought to illustrate the effect on EBITDA of adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional' using criteria established by the Vendors/Target. However the selection and quantification of such adjustments are necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'normalized'/'underlying' earnings/working capital, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring' or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings for future periods may be affected by such items, which may be different from the historical items.

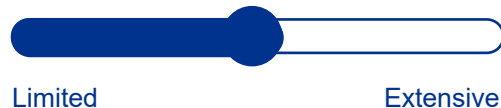
The run rate analysis has been prepared for illustrative purposes. There is no authoritative literature or common standard with respect to the calculation of 'run rate' EBITDA, and therefore there is no basis on which to state whether, in the illustrative analysis of 'run rate' EBITDA, all appropriate and comparable adjustments have been made. We have set out in our report the basis on which items have been included in or excluded from the run rate calculations for particular years. It is for you to satisfy yourselves as to whether the items included or excluded are appropriate for your purposes. The decision as to what items should be included in or excluded from the calculation of 'run rate' EBITDA is highly judgmental; you may choose to interpret the information presented differently.

The prospective financial information set out within our report has been prepared by Target; we do not accept responsibility for such information. We must emphasize that the realization of the prospective financial information is dependent on the continuing validity of the assumptions on which it is based. The assumptions will need to be reviewed and revised to reflect any such changes in trading patterns, cost structures or the direction of the business as they emerge. We accept no responsibility for the realization of the prospective financial information. Actual results are likely to be different from those shown in the prospective financial information because events and circumstances frequently do not occur as expected, and the differences may be material.

Some reporting sections contain links to supplementary data, such as Excel databooks and/or Power BI dashboards. Access to such supplementary data is limited to the recipients of this report and may not be accessible by any third parties. Gaining access to areas within provided supplementary data or to any other online application of KPMG to where access was not granted is not allowed.

Appendix 2: Basis of preparation

Scope of work



KPMG LLP ('KPMG') has been engaged by HEALWELL AI Inc. to prepare a financial due diligence report in connection with the potential acquisition of Orion Health ('Target'). The report has been prepared in accordance with our engagement letter dated November 15, 2024.

Our work on historical trading comprises the period from April 2022 to September 2024 inclusive. We have presented calendar year 2025 forecast financial information, but have not performed a detailed analysis or review of the forecast assumptions. We also present certain synergy assumptions, but have not performed a detailed review of the synergy case or post-deal operations.

Please refer to the appendices for a detailed [scope reconciliation](#).

Access to management



During the course of our work our main points of contact have been the Management of Target, represented by Sean Church (CFO).

We attended an initial meeting with Management on November 18, 2024, and have had regular follow-up calls with Management and communication through email.

Overall, we have had good access to Management, who have been helpful and put a significant amount of time and effort into this due diligence process by responding to our questions and requests in a timely manner.

The contents of our report have not been reviewed by the Management of Target and the factual accuracy of this report has not been confirmed by the Management.

Quality of information



The requested information has been provided through the virtual data room. As of the date of this report, all available requested information has been provided in a timely manner.

Our work has relied on certain key sources of information including, but not limited to; (1) Management's financial model which presents the full Target P&L, carve out assumptions and the carved out Zeno P&L with normalization adjustments, (2) supporting schedules to the primary financial model and (3) a full historical sales cube for Target.

We have had access to granular and relevant data i.e., transactional level.

Appendix 3: Scope of work (1/6)

Area	Description	Status	Comment
Business overview	a) Gain a general understanding of the services, customers, operations and entities in the business, including: • Basis of financial information; • Organization structure, including Zeno's position within the broader Orion Group; • Key revenue streams (Professional Services, Managed Services, Perpetual License, Third Party Revenue); and • Key milestones in the Zeno's recent history, including key operational and financial developments of note (new service offerings / revenue streams / geographical expansion, cost investment, changes in key management). b) Understand points of contact with the broader Orion Group, including intergroup transactions, shared services and resources, shared customers, and allocated costs.	✓	• Completed
Financial reporting environment	From analysis and discussions with you and Target: a) Present the income statement and balance sheet of Zeno on a 'reported' basis. b) Gain an understanding of the business' finance function, financial reporting framework and internal control environment (e.g. finance team set-up and reporting, key financials systems used, use of external accountant, reliance on shared Orion Group resources). c) Understand significant accounting policies applied and, where applicable, understand changes in accounting policies over the Historical Period and the potential financial impact. In particular, understand: • Revenue recognition, in particular recognition of recurring revenues and deferral of revenues; • Matching of revenue and costs (including deferral of staff sales commissions); • Capitalization policy; • Monthly vs year-end policies; and • Adjustments, entries, or areas of improvement suggested by the business' external accountant. d) Identify components of EBITDA which are incurred entirely within Zeno (i.e. stand-alone costs) and costs that are allocated to / from Orion Group, and compare to understanding of intra-group points of contact with broader Orion Group. e) Review a reconciliation of trial balance information to internal and external financial statements and to Orion Group year-end financial statements. f) Review a reconciliation of net income and net assets period-over-period.	✓	• Completed

Appendix 3: Scope of work (2/6)

Area	Description	Status	Comment
Quality of earnings	From analysis and discussions with you and Target: a) Present a potential adjusted earnings before interest, taxes, depreciation, and amortization (“EBITDA”), including normalization items for the Historical Period by considering the items identified in our understanding of the financial reporting environment, in our consideration of your own analysis of quality of earnings, and any additional analysis performed by KPMG, that have an earnings impact, including consideration of: - Revenue recognition (cash vs accruals accounting; treatment of implementation revenues; gross vs net considerations on third party / license revenues); - Allocated costs to / from Orion Group, considering the basis and methodology of allocation of costs compared to our understanding of Zeno's interaction with other Orion Group divisions and shared infrastructure*; - Stand alone costs prepared by Target / you*; - Other internal accounting practices (e.g. cut-off on accruals; matching of costs and revenues; treatment of capital expenses; provision movements and/or releases) and the impact of changes in accounting practices and policies; - Year-end adjustments/true ups that should be considered in the presentation of a TTM earnings (e.g. differences between month-end and year-end practices influencing TTM reporting); - The impact of foreign currency transactions; - Unadjusted year-end differences and other external accountant findings (where applicable); and - Other one-off, non-recurring, or non-business items identified through the course of our work.	✓	Completed

Appendix 3: Scope of work (3/6)

Area	Description	Status	Comment
Quality of earnings (cont.)	b) Discuss whether additional EBITDA adjustments might be considered, in addition to those already identified in your analysis. c) Present an adjusted income statement showing revenues, costs and EBITDA on an adjusted basis. d) Consider the quantum of recurring non-capital cash costs outside of EBITDA in the Historical Period (e.g. capitalized labour costs relating to IT / R&D projects, etc.). e) Review a reconciliation of employee costs included in adjusted EBITDA to the planned go-forward employee structure proposed by the seller. <i>*The quality of earnings analysis will consider the allocated costs included in the reported financial information for Zeno, and the proposed stand-alone cost structure which we understand has been prepared by the Target and reviewed by you. We will also reconcile employee costs in adjusted EBITDA to the Zeno workforce proposed by Management.</i> <i>We will flag in our report if, in the course of our analysis and discussion with Target, the stand alone costs or allocations are illogical or appear to be inconsistent with our understanding of existing group operations or the operations of Zeno. However, we will not undertake any work with the intent to assess or analyze the appropriateness of the stand alone cost base prepared by you / Target, other than to consider whether the costs included in adjusted EBITDA in our work are consistent with those costs calculated by you / Target.</i> <i>In the event that you determine that additional work is required to consider the appropriateness of the stand alone costs, the future target operating model, one-off separation costs and / or stranded costs, we will discuss this with you and agree additional procedures under separate cover.</i>	✓	Completed

Appendix 3: Scope of work (4/6)

Area	Description	Status	Comment
Supporting analysis to quality of earnings	a) Consider the following analysis and consider the impact on the quality of earnings analysis: - Analysis of sales and margin trends on a monthly basis by revenue stream, as applicable, to identify anomalies or one-off items; - Analysis of cost of sales and operating expenses by type on a monthly basis to identify anomalies or one-off items; - Trends in employee remuneration; - Trends in other relevant KPIs tracked by management; and - Trends in balance sheet components and balance sheet movements at the start and end of FY22, FY23, FY24 and TTM, with a potential EBITDA impact.	✓	• Completed
ARR drivers	Perform the following analysis: a) Present an analysis of revenues split between one-time (e.g. implementation) and recurring. b) Present an analysis and comment on the development of recurring revenues, including a reconciliation of revenues over time (new / lost / existing revenues). c) Review a reconciliation of annual recurring revenues (ARR) per the underlying “customer cube” of subscription revenues to reported revenue and deferred revenue per the internal financial information. d) Comment on trends in key KPIs for recurring and reoccurring revenues as monitored by management (e.g. ARR by product type, customer count, churn, volume, upsell). e) Summarize and comment on customer retention (churn) rates for recurring and reoccurring revenue streams by customer, by cohort, and by type (professional service vs managed service).	✓	• Completed

Appendix 3: Scope of work (5/6)

Area	Description	Status	Comment
Profitability drivers	a) Comment on the development of the revenue and gross profit of the business addressing: • Growth in revenues, including by customer, by product, and split between subscription vs other one-time revenues (such as set-up / consulting fees); and • Development of margins and relationship between direct costs and revenues. b) Consider the line item/detailed breakdown of COGS and operating expenses for the historical period addressing costs by function / division, and comment on key movements and drivers of changes (e.g. trends in headcount and cost per head by function). c) Present an analysis bridging EBITDA development from FY22 to TTM, summarizing the key drivers identified, such as price and volume metrics and/or profitability by revenue type / division.	✓	• Completed

Appendix 3: Scope of work (6/6)

Area	Description	Status	Comment
Stratified balance sheet and net debt	a) Present an analysis of the balance sheet for Zeno as at the last two fiscal year ends and the latest available date. b) Consider your analysis stratifying the components of the balance sheet into net working capital, net cash / debt balances, fixed assets, and 'other' balances. c) Discuss whether additional net working capital adjustments / net debt adjustments might be considered, in addition to those already identified in your analysis. d) Summarize and comment on net debt considerations as at the latest balance sheet date, including contingent liabilities (e.g. ongoing or pending litigation), constructive liabilities (e.g. unaccrued bonuses) and other obligations (e.g., deferred or committed capex) – including balances relating to the broader Orion Group that could remain in the legal entity being acquired.	x	• To be completed in subsequent phase
Net working capital (2/2)	a) Understand cash and working capital cycle, including the impact of government RFPs and payment terms on working capital balances. b) Consider the components of net working capital, monthly trends (including days), key drivers and seasonality. c) Present and comment on the average level of working capital and its development over the Historical Period for consideration when setting a working capital target. Consider one off / non-business items in reported working capital, 'allocated' balances within working capital, and the potential impact of stand-alone working capital balances when Zeno is no longer part of the Orion Group (analysis to be performed by you). d) Discuss whether additional net working capital adjustments might be considered, in addition to those already identified in any existing analysis. e) Consider the ageing of trade payables and receivables.	x	• To be completed in subsequent phase

Appendix 4: Income statement

The group numbers presented on this page show Management's split of total group performance, shown before and after Management normalizations, and allocated between the parts of the business planned for carve-out (HIP and ENT), synergies and Zeno. Total unadjusted group performance has been reconciled to the annual audit for FY23 and FY24, and some minor variances have been included in the quality of earnings analysis where necessary.

We have presented fiscal years in this document, alongside the TTM period to Sep-24 and calendar year 2025. Other periods including calendar years are presented in an accompanying databook.

P&L walk																								
Group reported P&L					Management normalizations				Group normalized				Stand-alone carve out				Synergies				Zeno			
NZ\$'000	FY23	FY24	TTM Sep-24	CY25	FY23	FY24	TTM Sep-24	CY25	FY23	FY24	TTM Sep-24	CY25	FY23	FY24	TTM Sep-24	CY25	FY23	FY24	TTM Sep-24	CY25	FY23	FY24	TTM Sep-24	CY25
Revenue																								
Non-recurring revenue	39,328	46,503	32,986	56,851	3,058	1,643	1,135	-	42,386	48,146	34,121	56,851	1,926	2,816	2,583	12,402	-	-	-	-	40,460	45,330	31,539	44,450
Recurring revenue	90,551	84,893	80,775	98,890	(248)	(103)	-	-	90,304	84,790	80,775	98,890	3,399	4,235	3,495	5,124	-	-	-	-	86,905	80,555	77,281	93,766
Revenue	129,880	131,396	113,762	155,742	2,810	1,540	1,135	-	132,690	132,936	114,897	155,742	5,325	7,051	6,077	17,526	-	-	-	-	127,365	125,885	108,820	138,216
Costs of sales/direct costs																								
Non-recurring direct costs	(1,360)	(844)	(1,355)	(1,001)	-	-	-	-	(1,360)	(844)	(1,355)	(1,001)	(79)	(51)	(74)	(186)	-	-	-	-	(1,281)	(794)	(1,281)	(814)
Recurring direct costs	(20,031)	(18,881)	(19,070)	(22,057)	-	-	-	-	(20,031)	(18,881)	(19,070)	(22,057)	(380)	(379)	(362)	(862)	-	-	-	-	(19,651)	(18,502)	(18,709)	(21,194)
Direct costs	(21,391)	(19,725)	(20,426)	(23,058)	-	-	-	-	(21,391)	(19,725)	(20,426)	(23,058)	(459)	(429)	(436)	(1,049)	-	-	-	-	(20,932)	(19,296)	(19,990)	(22,009)
Net 3rd party revenue/(costs)	2,531	64	320	45	-	-	-	-	2,531	64	320	45	(2)	0	(0)	-	-	-	-	-	2,533	64	321	45
Professional services	(24,926)	(27,138)	(25,125)	(25,512)	-	269	108	-	(24,926)	(26,869)	(25,018)	(25,512)	2,739	(2,352)	(2,822)	(4,530)	-	-	-	-	(27,666)	(24,517)	(22,196)	(20,983)
Managed services	(17,832)	(11,866)	(10,398)	(8,294)	-	50	57	-	(17,832)	(11,815)	(10,340)	(8,294)	(8,176)	(4,270)	(3,198)	(693)	-	-	-	-	(9,656)	(7,546)	(7,142)	(7,601)
Support	(2,898)	(2,668)	(2,879)	(4,952)	-	-	-	-	(2,898)	(2,668)	(2,879)	(4,952)	(824)	(297)	383	(761)	-	-	-	-	(2,074)	(2,371)	(3,261)	(4,190)
Gross margin	65,364	70,064	55,255	93,971	2,810	1,858	1,300	-	68,174	71,922	56,555	93,971	(1,396)	(297)	5	10,493	-	-	-	-	69,570	72,220	56,550	83,478
R&D	(33,848)	(29,371)	(30,448)	(27,649)	3,738	4,427	4,495	4,371	(30,111)	(24,944)	(25,953)	(23,278)	(6,592)	(3,527)	(4,615)	(5,344)	-	-	-	-	(23,519)	(21,417)	(21,338)	(17,934)
Customer acquisition	(14,977)	(16,671)	(15,962)	(13,609)	-	249	366	-	(14,977)	(16,422)	(15,596)	(13,609)	(2,780)	(3,879)	(3,587)	(2,878)	(590)	(606)	(595)	(530)	(11,607)	(11,937)	(11,414)	(10,202)
Other	(28,565)	(29,718)	(28,474)	(26,235)	4,592	2,722	2,743	-	(23,973)	(26,996)	(25,732)	(26,235)	(2,390)	(2,944)	(2,974)	(2,727)	(3,839)	(4,034)	(3,874)	(3,787)	(17,744)	(20,018)	(18,884)	(19,722)
Operating expenses	(77,391)	(75,760)	(74,884)	(67,493)	8,330	7,399	7,604	4,371	(69,061)	(68,362)	(67,281)	(63,122)	(11,763)	(10,350)	(11,176)	(10,948)	(4,428)	(4,640)	(4,469)	(4,316)	(52,870)	(53,372)	(51,636)	(47,858)
EBITDA (excl. STI & LTI)	(12,027)	(5,697)	(19,629)	26,479	11,140	9,257	8,903	4,371	(887)	3,560	(10,726)	30,850	(13,159)	(10,647)	(11,171)	(455)	(4,428)	(4,640)	(4,469)	(4,316)	16,700	18,848	4,914	35,621
STI	402	24	86	(4,572)	(39)	(24)	(1,222)	537	363	-	(1,136)	(4,035)	62	-	(186)	(569)	12	-	(42)	(288)	290	-	(907)	(3,178)
LTI	(217)	(59)	208	(207)	(323)	-	-	-	(540)	(59)	208	(207)	(92)	(10)	35	(30)	(17)	(2)	7	(14)	(430)	(47)	165	(163)
EBITDA (incl. STI & LTI)	(11,842)	(5,732)	(19,336)	21,700	10,778	9,233	7,682	4,908	(1,064)	3,501	(11,654)	26,608	(13,189)	(10,657)	(11,322)	(1,053)	(4,434)	(4,642)	(4,505)	(4,618)	16,560	18,801	4,172	32,279
Memo																								
People costs (incl. EBITDA)	(98,928)	(94,204)	(91,662)	(85,749)	4,245	5,203	5,126	4,371	(94,683)	(89,001)	(86,536)	(81,378)	(14,189)	(13,937)	(13,695)	(13,645)	(3,598)	(3,525)	(3,456)	(3,133)	(76,896)	(71,540)	(69,384)	(64,600)

Source: Management model, KPMG analysis.

Appendix 5: Reported to adjusted P&L

Analysis presents a reconciliation of Management's EBITDA for Zeno to the adjusted P&L presented on page 4 of this report, including the quality of earnings adjustments set out in this document.

Reported to adjusted P&L													
NZ\$'000	Zeno (management normalized)				Adjustments				Zeno adjusted				Run rate
	FY23	FY24	TTM Sep-24	CY25	FY23	FY24	TTM Sep-24	CY25	FY23	FY24	TTM Sep-24	CY25	
Revenue													
Non-recurring revenue	40,460	45,330	31,539	44,450	363	97	(45)	1	40,823	45,428	31,494	44,451	30,960
Recurring revenue	86,905	80,555	77,281	93,766	459	(5)	277	(760)	87,364	80,550	77,558	93,007	81,160
Revenue	127,365	125,885	108,820	138,216	822	92	232	(759)	128,187	125,978	109,052	137,457	112,120
Costs of Sales/Direct Costs													
Non-recurring direct costs	(1,281)	(794)	(1,281)	(814)	-	-	-	-	(1,281)	(794)	(1,281)	(814)	(1,308)
Recurring direct costs	(19,651)	(18,502)	(18,709)	(21,194)	-	143	71	-	(19,651)	(18,359)	(18,637)	(21,194)	(19,117)
Direct costs	(20,932)	(19,296)	(19,990)	(22,009)	-	143	71	-	(20,932)	(19,153)	(19,919)	(22,009)	(20,425)
Net 3rd party revenue/(costs)	2,533	64	321	45	-	-	-	-	2,533	64	321	45	-
Professional services	(27,666)	(24,517)	(22,196)	(20,983)	(17)	(17)	(17)	(17)	(27,682)	(24,534)	(22,213)	(20,999)	(19,625)
Managed services	(9,656)	(7,546)	(7,142)	(7,601)	(17)	(17)	(17)	(17)	(9,673)	(7,562)	(7,159)	(7,618)	(6,696)
Support	(2,074)	(2,371)	(3,261)	(4,190)	(17)	(17)	(17)	(17)	(2,091)	(2,388)	(3,278)	(4,207)	(3,800)
Gross margin	69,570	72,220	56,550	83,478	772	185	254	(809)	70,342	72,405	56,804	82,670	61,574
R&D	(23,519)	(21,417)	(21,338)	(17,934)	(17)	(17)	(17)	(17)	(23,535)	(21,434)	(21,355)	(17,951)	(20,997)
Customer acquisition	(11,607)	(11,937)	(11,414)	(10,202)	(17)	(17)	(17)	(17)	(11,624)	(11,953)	(11,431)	(10,219)	(9,859)
Other	(17,744)	(20,018)	(18,884)	(19,722)	(357)	(401)	(348)	(566)	(18,101)	(20,419)	(19,233)	(20,288)	(19,205)
Operating expenses	(52,870)	(53,372)	(51,636)	(47,858)	(390)	(435)	(382)	(599)	(53,260)	(53,806)	(52,018)	(48,457)	(50,061)
EBITDA (excl. STI & LTI)	16,700	18,848	4,914	35,621	382	(249)	(128)	(1,408)	17,082	18,599	4,786	34,213	11,513
STI	290	-	(907)	(3,178)	(290)	-	907	429	-	-	-	(2,749)	-
LTI	(430)	(47)	165	(163)	-	(801)	(589)	-	(430)	(848)	(424)	(163)	-
EBITDA (incl. STI & LTI)	16,560	18,801	4,172	32,279	92	(1,050)	190	(979)	16,652	17,751	4,362	31,300	11,513
Memo													
Potential synergies - employees (incl. in EBITDA)									3,196	3,131	3,061	2,802	2,699
Potential synergies - other costs (incl. in EBITDA)									650	951	872	1,058	872
People costs (incl. in EBITDA)	(76,896)	(71,540)	(69,384)	(64,600)					(76,996)	(71,640)	(69,484)	(64,700)	(64,766)
Non-people operating costs (incl. in EBITDA)	(15,369)	(16,266)	(14,852)	(16,032)					(15,710)	(16,651)	(15,183)	(16,581)	(15,416)

Source: Management model, KPMG analysis.

Appendix 6: Headcount allocation

Analysis presents the employee census at Oct-24 with Management's view of the allocation of employees between Zeno (384), the carve out business units (ENT & HIP – 98) and identifies certain individuals as areas of synergy in the future (6 café workers and 10 other workers). Run rate costs includes the 384 Zeno workers, and excludes the 10 employees who currently perform work for Zeno but management have classified as 'synergies'. You will employ all 394 employees on day 1 post-deal, and be responsible for delivering \$3.1 million of people-cost synergies. We understand you have identified savings that cover these cost savings.

Employee breakdown by department and solution group						
	FY25 FTE					Total
	Zeno	ENT	HIP	Synergy - unrealized	Synergy - realized	
500 Research & Development	133	38	36	-	-	208
300 Professional Services	108	5	-	-	-	113
450 Managed Services	34	1	-	-	-	35
420 Customer Support Services	28	1	-	-	-	29
200 Sales	16	3	1	1	-	21
112 Financial Accounting	13	-	1	-	-	14
120 Security and Assurance	5	-	-	6	-	11
114 IT Services	7	1	1	-	-	9
140 Marketing	7	-	1	-	-	8
117 People	4	1	1	2	-	8
113 Facilities	5	1	-	-	-	6
119 Commercial	5	1	1	-	-	6
105 Cafe	-	-	-	-	6	6
201 Bid Management	4	1	-	-	-	5
101 Executive	2	-	1	2	-	5
503 UX	4	-	-	-	-	4
118 Payroll	3	-	1	-	-	4
116 Legal	2	-	1	-	-	3
504 Product Specialists	2	-	-	-	-	2
111 Business Operations	1	-	-	-	-	1
421 InCountry Customer Support	1	-	-	-	-	1
110 Corporate Services	1	-	-	-	-	1
100 Board	A	-	-	A	-	-
Total	384	53	45	10	6	499
Memo						
% of total	76.9%	10.6%	9.1%	2.1%	1.3%	100.0%
FY25 base salary cost (\$'000)	55,536	5,979	5,797	1,947	244	69,503
% of total	79.7%	8.4%	8.1%	3.4%	0.4%	100.0%
TTM Sep-24 employee costs (\$'000)	72,444	7,619	7,388	3,071	385	90,907

Source: Management model, KPMG analysis.

A

394 employees: Employees transferring to Zeno include 384 allocated individuals and 10 synergy individuals. The 10 employees' roles relate to Zeno operations, and will be employed by you on day 1, but the seller expects these employees will not be required going forward. The associated cost is \$3.1 million.

These employees are largely in the security and assurance team – with the seller expecting that you can absorb these roles within your existing security and assurance department – and the US HR and sales team – also assumed to be covered by your existing operations.

Analysis of combined group resources is required to substantiate these synergies. We understand you have identified at least 10 roles for cost savings including 3 in security and assurance, 2 in sales and HR, and other synergies in finance, IT, marketing and R&D, and that you expect will deliver at least \$3.1 million of annualized savings.

B

'Realized' synergies: 6 'realized' synergies, excluded from our 'run rate' EBITDA, relate to workers in a café operated by the seller. The café operations, and these individuals, will not be part of the deal and we understand you will not employ these individuals.

Appendix 7: Non-people operating costs – TTM24 allocation

The analysis below presents an estimated split of non-people operating costs that have been allocated between Zeno, HIP and ENT ('New co') and synergies based on management's allocation of payroll data. We have included synergy savings in our adjusted EBTIDA. We understand that you have reviewed the costs allocated to Zeno, and are confident that sufficient costs have been included in adjusted EBITDA.

Non-people operating costs				
NZ\$'000	TTM Sep-24			
	Zeno	New co	Synergies	Group total
Premise	(3,891)	(789)	(35)	(4,714)
Telecom & IT	(2,902)	(520)	(80)	(3,501)
Consultants and professional fees	(2,356)	(398)	(623)	(3,376)
Travel and entertainment	(1,594)	(323)	(55)	(1,972)
Marketing	(1,436)	(311)	(73)	(1,820)
Remapped direct costs	(1,041)	(491)	16	(1,515)
Insurance	(968)	(201)	(40)	(1,208)
Office expenses	(425)	(33)	(6)	(464)
Bank charges	(141)	(29)	(6)	(176)
Director fees	(9)	(4)	(109)	(122)
Repairs & maintenance	(69)	(16)	(3)	(88)
Other general & admin	(13)	(3)	(1)	(17)
General expenses	(8)	(2)	(0)	(10)
Non-people operating costs	(14,852)	(3,118)	(1,012)	(18,982)
Memo - consultants and professional fees breakout				
Other professional fees	(694)	(117)	(183)	(994)
Audit fees	(586)	(99)	(155)	(839)
Tax consulting/compliance	(420)	(71)	(111)	(602)
Legal fees	(403)	(68)	(107)	(578)
HR consultants	(218)	(37)	(58)	(313)
Prof & trade organization memberships	(35)	(6)	(9)	(50)
Consultants and professional fees	(2,356)	(398)	(623)	(3,376)

Source: Management model, KPMG analysis.

A

Non-people synergy costs: Total synergy costs of \$1.0 million includes \$0.1 million of director fees, which will not continue in the future as the founder no longer receives this income (the founder is not involved in the day-to-day operations) and a small amount of costs relating to the café.

The remaining TTM Sep-24 synergy costs of \$0.9 million has been calculated largely by reference to an allocation of costs based on synergy headcount, plus additional synergies, estimated at a high level, on consultant and professional fees.

We understand you have reviewed the costs allocated to Zeno, and are projecting audit costs of \$0.3 million (compared to \$0.6 million included in adjusted EBITDA), expect to significantly reduce insurance and tax costs, and are broadly comfortable that the costs allocated to Zeno are in line with, or higher, than expected go-forward costs.

B

Consultant and professional costs: The majority of the non-people cost synergies have been identified by the seller in consultant and professional fees, on the expectation that you will not incur significant additional audit, legal, tax and other professional fees in addition to the costs you already incur. You should review the total expected costs for the enlarged group before accepting the seller's synergy case.

We have not included these synergies in our adjusted or run rate EBITDA.

Appendix 8: Revenue by type

The table below presents the split of revenue between recurring and non-recurring revenue streams, by solution type, on a reported basis. We also present adjusted revenue split by recurring and non-recurring revenue in the memo.

Revenue by type				
\$'000	FY23	FY24	TTM Sep-24	CY25
Managed services	45,034	41,355	36,107	46,825
Support	24,687	24,908	24,355	25,915
Prof. services - embedded res.	11,500	8,275	9,880	13,336
Subscription license	5,683	6,017	6,939	7,690
Recurring revenues	86,905	80,555	77,281	93,766
Professional services	31,677	37,145	27,620	43,079
Perpetual license	8,786	8,171	3,578	870
Other	(3)	14	261	500
Unreconciled variance	-	-	80	
Non-recurring revenues	40,460	45,330	31,539	44,450
Total reported revenue	127,365	125,885	108,820	138,216
Memo - adjusted revenue				
Recurring revenues	87,364	80,550	77,558	93,007
Non-recurring revenues	40,823	45,428	31,494	44,451
Total adjusted revenue	128,187	125,978	109,052	137,457

Source: Management model, KPMG analysis.

Appendix 9: ARR

We present ARR analysis on the recurring revenue streams at each fiscal period end and present the analysis on a reported currency basis (where foreign currency invoices have been converted to NZD at the month end rate) and a constant currency basis (using the FX rates that have been assumed throughout the forecast).

The Sep-24 ARR of \$75.2 million has been used as the basis for the run rate scenarios used in this report.

Reported currency

ARR summary						
\$'000	FY21	FY22	FY23	FY24	YTD Sep-24	Sep-24 -FY25
Opening		72,465	78,282	85,594	77,089	75,184
New ADO (Saudi Arabia)		-	-	-	-	5,050
Unidentified wins		-	-	-	-	-
Other new		2,678	261	447	737	790
New		2,678	261	447	737	5,840
Horizon Blue		-	-	(8,767)	-	-
Oklahoma Health Care		-	-	(5,521)	-	-
Iowa Health		-	-	(2,824)	-	-
Other lost		(2,020)	(1,317)	(565)	(1,279)	(297)
Lost		(2,020)	(1,317)	(17,677)	(1,279)	(297)
Upsell		10,372	7,558	7,362	3,769	12,506
Downsell		(6,816)	(5,622)	(1,897)	(3,207)	(3,344)
Cross sell		5,591	8,019	3,098	-	318
Lost services		(2,440)	(1,119)	(19)	(2,673)	(529)
Boomerang		(1,548)	(468)	182	748	(171)
Closing	72,465	78,282	85,594	77,089	75,184	89,507
KPIs - excluding one off churn						
Churn %		3.4%	2.1%	0.8%	3.3%	0.8%
Net retention %		99.6%	110.8%	111.9%	93.1%	122.6%
Gross retention %		84.2%	88.0%	96.4%	81.4%	88.9%
Absolute period-end ARR	59,123	61,575	68,482	77,089	75,184	89,507
ARR growth (%)		4.1%	11.2%	12.6%	(4.9)%	41.7%

Source: Management model, KPMG analysis.

Constant currency

ARR summary						
\$'000	FY21	FY22	FY23	FY24	YTD Sep-24	Sep-24 -FY25
Opening		80,498	85,348	88,180	76,587	76,530
New ADO (Saudi Arabia)		-	-	-	-	5,050
Unidentified wins		-	-	-	-	-
Other new		2,899	267	447	726	790
New		2,899	267	447	726	5,840
Horizon Blue		-	-	(9,098)	-	-
Oklahoma Health Care		-	-	(5,730)	-	-
Iowa Health		-	-	(2,930)	-	-
Other lost		(2,146)	(1,370)	(596)	(1,261)	(302)
Lost		(2,146)	(1,370)	(18,354)	(1,261)	(302)
Upsell		10,639	4,791	5,230	4,531	11,224
Downsell		(8,173)	(7,440)	(2,125)	(2,159)	(3,287)
Cross sell		6,163	8,228	3,077	-	318
Lost services		(2,701)	(1,155)	(20)	(2,673)	(532)
Boomerang		(1,830)	(489)	152	779	(174)
Closing	80,498	85,348	88,180	76,587	76,530	89,617
KPIs - excluding one off churn						
Churn %		3.3%	2.1%	0.8%	3.3%	0.8%
Net retention %		97.7%	106.0%	108.1%	98.0%	118.9%
Gross retention %		83.8%	87.1%	96.1%	84.1%	89.2%
Absolute period-end ARR	64,791	66,196	70,422	76,587	76,530	89,617
ARR growth (%)		2.2%	6.4%	8.8%	(0.1)%	37.1%

A \$75.2 million ARR used as the basis for run rate revenue, before contracted wins (\$0.9 million) and AAH ARR (\$5.1 million).

- B** The business experienced an unusual level of large-customer churn in FY24:
- Horizon – was a long term customer of Zeno, but had financial challenges in 2022 which resulted in the termination of the contract in 2023.
 - Oklahoma – Zeno was awarded the OKShine HIE contract in 2020, beating out the incumbent HIE provider. Progress was slow due to political issues and a long term relationship between the incumbent and the state governor. The contract was eventually terminated in 2023 and the incumbent was reinstated.
 - Iowa – was a long term customer of Zeno. In 2021, CyncHealth, the Nebraska HIE operator took responsibility for the Iowa HIE. In 2023 CyncHealth merged the Iowa technology platform with the long term Nebraska platform, ending the Zeno contract.

Appendix 10: CY25 revenue composition

We present a stratification of CY25 forecast revenue showing the quantum of contracted and uncontracted revenue within the recurring and non-recurring captions.

CY25 revenue stratification	
\$'000	CY25
Recurring	
Contracted	70,656
Near contracted	19,434
Expansion - Existing Customer	1,768
New Customer	1,149
Total recurring revenue	93,007
Non-recurring	
Contracted	6,134
Near contracted	15,916
Expansion - Existing Customer	13,745
New Customer	8,155
R&D income	500
Total non recurring revenue	44,451
Total revenue	137,457

Source: Management model, KPMG analysis.

A **CY25 recurring revenue:** 76% of CY25's recurring revenue is already contracted, with a further 21% 'near contracted' – which includes \$5.1 million of AAR for AAH (5%), and a \$4.5 million scope expansion with Ontario Health, which is in the final stages of negotiation (5%).

The remaining revenue is targeted from upsell primarily to specially identified existing customers (2%) and unspecified target growth (1%).

B **CY25 non-recurring revenue:** Of the total projected revenue of \$44.5 million in CY25, \$22.1 million is already contracted or near-contracted (50%), per management, and a further \$13.7 million (31%) has been identified as opportunity with existing customers – including \$5.6 million relating to Southern Cross Healthcare in New Zealand.

A further \$8.2 million (18%) is targeted from new customers, and we recommend you request a detailed weighted pipeline to understand where this income will be targeted and sourced.

Appendix 11: Recurring revenue by vintage

We present adjusted recurring revenue by vintage group (with vintage group defined as the period when the customer first delivered recurring revenue), excluding the three US customers that churned in FY24.

Recurring revenue by vintage						
\$'000	Financial Year					
	FY21	FY22	FY23	FY24	TTM Sep-24	CY25
Pre-FY22	57,430	61,423	59,807	62,010	63,674	67,933
FY22	-	1,657	9,436	10,503	10,793	16,755
FY23	-	-	150	216	222	138
FY24	-	-	-	209	285	674
FY25	-	0	-	-	323	6,118
FY26	-	-	-	-	-	1,389
FY27	-	-	-	-	-	-
Total (excl. 3 churned US customers)	57,430	63,081	69,394	72,938	75,297	93,007
Memo - revenue from 3 US customers						
Horizon Blue	10,184	9,675	9,484	6,689	2,261	-
Oklahoma Health	2,351	4,549	5,653	202	-	-
Iowa Health	1,008	2,016	2,834	721	-	-
Total recurring revenue	70,973	79,320	87,364	80,550	77,558	93,007

Source: Management model, KPMG analysis.

Appendix 11: Glossary of terms and abbreviations

\$'000	NZ dollars thousands
'm	Million
AAH	Ascend Advanced Healthcare
AASB	Auditing and Assurance Standards Board
AP	Accounts payable
AR	Accounts receivable
ARR	Annual recurring revenue
AWS	Amazon Web Services
BS	Balance sheet
CFO	Chief Financial Officer
COGS	Cost of goods sold
CYXX	Calendar year ended December 31, 20XX
EBITDA	Earnings before interest, tax, depreciation and amortization
ENT	Enterprise
ERP	Enterprise resource planning
FTE	Full-time equivalent
FX	Foreign exchange
FYXX	Fiscal year ended March 31, 20XX
HEALWELL	Healwell AI Inc.
HIP	Health Intelligence Platform

HR	Human resource
IFRS	International Financial Reporting Standards
IT	Information technology
L3M	Last 3 months to Sep-24
LOI	Letter of intent
LTI	Long term incentive
Management	Management of the target. In this report Sean Church (CFO)
Mgmt.	Management of the target. In this report Sean Church (CFO)
NZD	NZ dollars
Opex	Operating expenses
Orion Health	Orion Healthcorp, Inc.
P&L	Profit and loss statement
QoE	Quality of earnings
R&D	Research and development
SPA	Sale and purchase agreement
STI	Short term incentive
TSA	Transaction service agreement
TTM Sep-24	Trailing twelve months ended Sep-24
US	The United States of America
WELL Health	WELL Health Technologies Corp.



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